

JOURNAL OF FINANCIAL ECONOMICS

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RE: FINEC-D-24-00175

Dear author(s):

I have now heard back from two reviews. I apologize for the long delay; one of the referees had good reasons to be slow. The news is mixed. R1 recommends a rejection, and R2 recommends a minor revision. As you know, my work in asset pricing is limited, so I asked an associate editor to help me sort through the comments. The AE has written to me:

It's useful to start with the common threads from both reports. Both referees want to see:

1. **Better positioning of the manuscript in the literature**, both in relation to the author's earlier publications and other relevant contributions (a few scattered comments across the footnotes won't suffice).
2. A more extensive discussion/defense of the calibration of the monetary policy side of the economy across the two sub-periods, especially for the first portion of the sample, which the author uses as an example of a time dominated by supply-side shocks.

If you decide to invite a resubmission, it should be made clear that the author must convincingly address these two points to have a chance at eventual publication in this Journal.

The more negative referee raises several additional relevant points that the author should carefully address:

1. The manuscript builds heavily on some of the author's earlier contributions. While I certainly agree on this point, I do not concur with the conclusion that this diminishes the relevance of the current work to the point of not being worthy of publication in a top finance journal. The paper analyzes an important empirical question: why didn't the stock-risk exposures of nominal and real bonds change during the recent spike in inflation, despite perceived similarities with the 1970s and 1980s? The author answers this by estimating an equilibrium model across

two subsamples, showing that the real and nominal sides of the economy have changed so much in the last 20 years that altering one set of parameters at a time (to match those of the earlier years) isn't enough to revert the risk exposures. It takes a "perfect storm" (as the author puts it) to make nominal and real bonds as risky as they used to be. This is a potentially important point in the asset pricing literature, one, in my opinion, not automatically inferred from the author's earlier papers. However, it's paramount that the author provides a compelling argument about why the previous papers aren't enough to fully examine this empirical fact in both the response and the next draft.

2. This referee doesn't like some of the modeling assumptions. I'm not convinced by the "Taylor rule" comment (the author does include a shock in her MP rule that we could interpret as the discretionary component) and would like to see richer wage-price inflation dynamics. The author can address the latter (e.g., by introducing an additional shock to break the connection between the two inflation processes) and acknowledge some limitations in the modeling approaches.
3. This referee is concerned that viewing the 1980s as a prototypical example of supply-side shocks is incorrect. I'm sympathetic to this, as the 1970s are typically the more natural benchmark (although, in fairness, the JEP article by Goodfriend that this referee mentions in footnote 1 does say at the bottom of page 51 that "In January and February 1980 [...], the spike in underlying inflation in connection with the ongoing oil price shock, the run-up in the dollar price of gold to \$850 per ounce [...]", which one could argue as manifestations of supply shocks). Two potential avenues to address this issue are:
 - Extend the estimation of the first sample period to include the 1970s, though finding inflation expectations data may be challenging (I am not sure that Blue Chip forecasts go back that far in time). The author could use parametric forecasts of inflation in the spirit of Stock and Watson instead.
 - Calculate the necessary changes in parameters to replicate the stock betas from the first half of the sample in the second half. For example, is there a degree of MP inertia that would make the betas as big as they were in the first half of the sample? How much bigger should the volatilities of the shocks be to engineer the same betas?
4. The referee provides an alternative explanation for recent events, which the author should consider. It would also be useful to examine the likelihood of observing four 75bps rate increases in a year without changing some of the Taylor rule's parameters. I suspect that one way to examine the story proposed by the referee at the top of page 3 would consist in changing some of the parameters of the model to levels that are similar to the first part of the sample. There is a sense in which this aligns with what the author does in her counterfactuals.

I think the reports contain relevant and well-crafted comments. Similarly, I think the paper has the potential to make an important contribution to the literature. In my

opinion, it would be appropriate to offer the author an opportunity to address these comments.

I thought these comments were sensible and offered a clear guide to what is needed to convert the revision.

While I will allow you to revise and resubmit your paper, there is no assurance that your paper will eventually be publishable in the *JFE*. If you decide to resubmit this paper to the *JFE*, please prepare a guide to the revisions that you have made, and **make it easy for me and the referee to find these revisions**. No submission fees will be required for revisions.

I hope these comments are useful to you. If you find any comments to be ambiguous, please feel free to reach out with any questions. It is better to resolve these ambiguities in one round than in two or three. Thank you for submitting your paper to the *Journal of Financial Economics*.

Sincerely,

A handwritten signature in blue ink, appearing to read 'Toni', with a stylized flourish at the end.

Toni M. Whited
Editor-in-Chief